both at one time. Do the math to see which way saves you the most money. Obviously, if your income is too high to be eligible for the credits, the deduction is better than nothing at all. Once again, Publication 970, *Tax Benefits for Education,* has all the details.

MAKING THE MOST OF YOUR TAX CREDITS

Tax credits are special breaks that are subtracted directly from the tax you owe. (That's different from a deduction, which reduces the amount of your income that's subject to taxation.) For that reason, a tax credit could be worth a lot. Here are some that you should take advantage of:

- **Hope Scholarship Credit.** If you're paying your way through college, you may be eligible for a tax credit of up to $1,800 in each of the first two years of school. A full 100% of the first $1,200 you spend on tuition can be claimed for the Hope credit, plus 50% of the next $1,200. You're not eligible for the full credit if you make more than $50,000 (single) or $100,000 (married filing jointly). To find out more, contact the IRS at 800-TAX-FORM (www.irs.gov) and get a copy of *Tax Benefits for Education*, Publication 970.
- **Lifetime Learning Credit.** If you haven't claimed the Hope credit in a given year, a "lifetime learning credit" worth up to $2,000 a year may be available. Unlike the Hope credits, a lifetime learning credit can be taken in any year of college or graduate school. The credit covers up to 20% of the first $10,000 of eligible tuition and related expenses, which begin at the same income levels as the Hope credit. For details, check out IRS Publication 970, *Tax Benefits for Education*. There's no limit to the number of times this credit can be claimed, making it a real boon to perpetual grad student types.